

CONFIDENTIAL

Report to Investors in The Children's Investment Fund

Period: 1st July 2004 to 30th September 2004

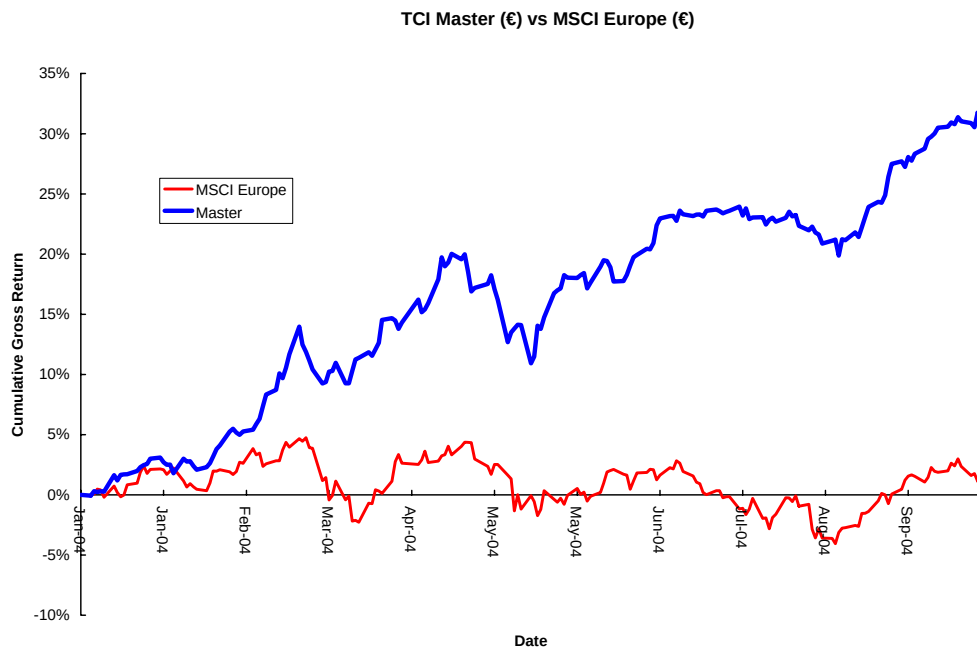
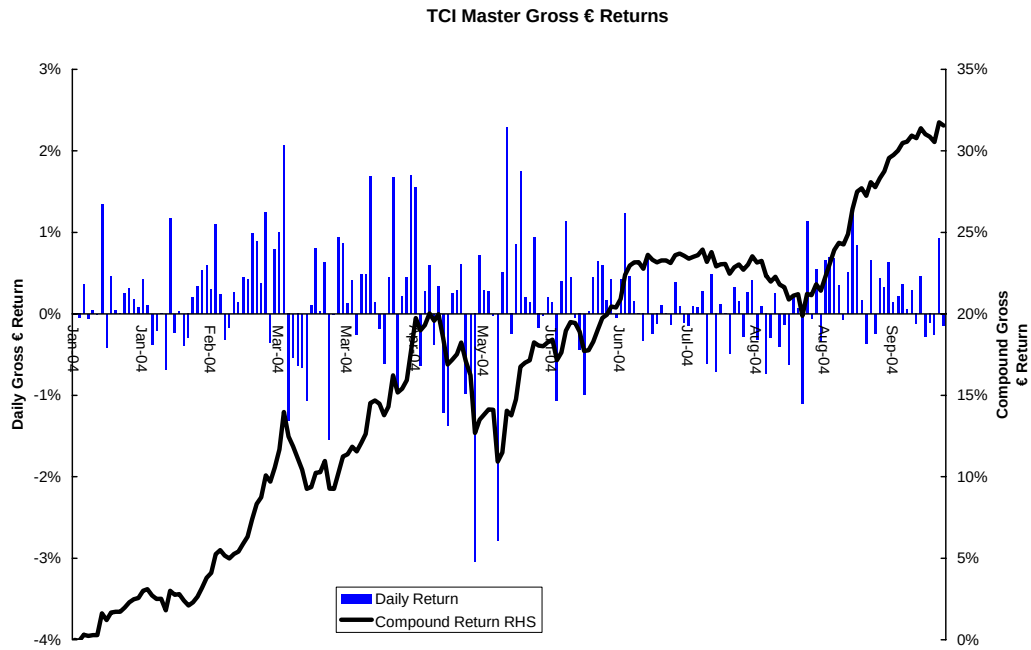
Dear Investor:

Returns

Returns to investors for this period, net of (a) management and accrued incentive fees and (b) monthly and annual accrued charitable donations from the fund, are shown below:

Period	Master Fund Assets €m	Class A (3yr) \$	Class B (5yr) \$	MSCI Europe (\$)	SP500 (\$)	MSCI World (\$)
January	374.8	+1.36%	+1.41%	+1.11%	+1.73%	+1.54%
February	531.7	+5.08%	+5.26%	+2.78%	+1.22%	+1.55%
March	553.6	+2.75%	+2.78%	-3.50%	-1.64%	-0.89%
Q1		+9.44%	+9.71%	+0.29%	+1.28%	+2.20%
April	734.6	+3.70%	+3.77%	-1.23%	-1.68%	-2.22%
May	872.1	+0.40%	+0.43%	+1.11%	+1.21%	+0.67%
June	1,081.2	+2.82%	+2.90%	+1.09%	+1.80%	+1.91%
Q2		+7.05%	+7.23%	+0.95%	+1.30%	+0.32%
July	1,088.4	-0.24%	-0.24%	-2.84%	-3.43%	-3.34%
August	1,113.9	+0.85%	+0.88%	-0.26%	+0.23%	+0.26%
September	1,172.8	+4.70%	+4.88%	+3.94%	+0.84%	+1.77%
Q3		+5.34%	+5.54%	+0.73%	-2.30%	-1.38%
YTD		+23.41%	+24.18%	+1.98%	+0.24%	+1.11%

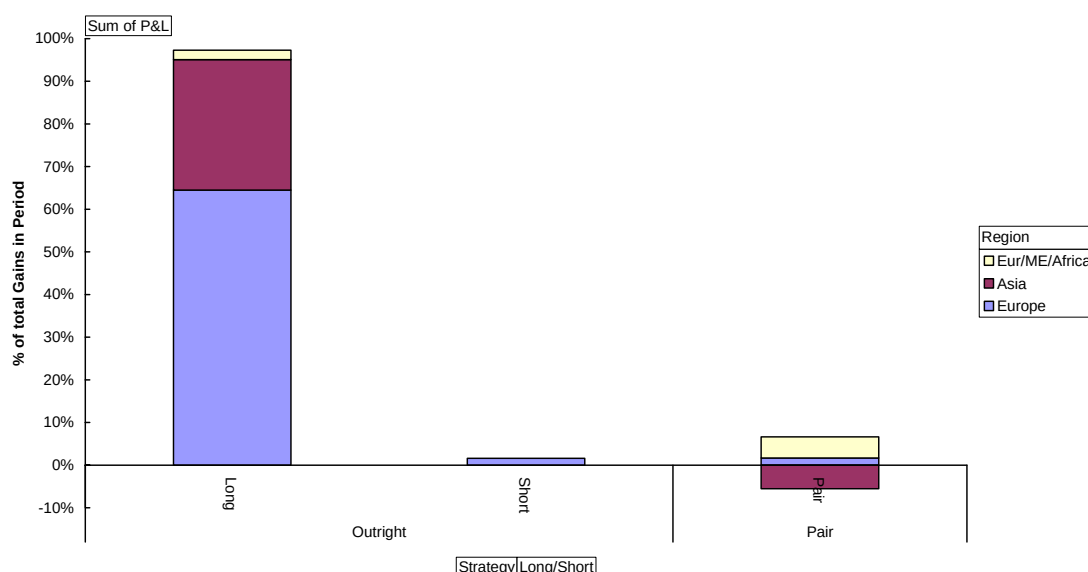
Source: Citco Fund Services for Jan - Aug, TCI in-house estimate for Sept; Bloomberg LP



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Performance Attribution

TCI Master Fund Q3 Attribution of Returns



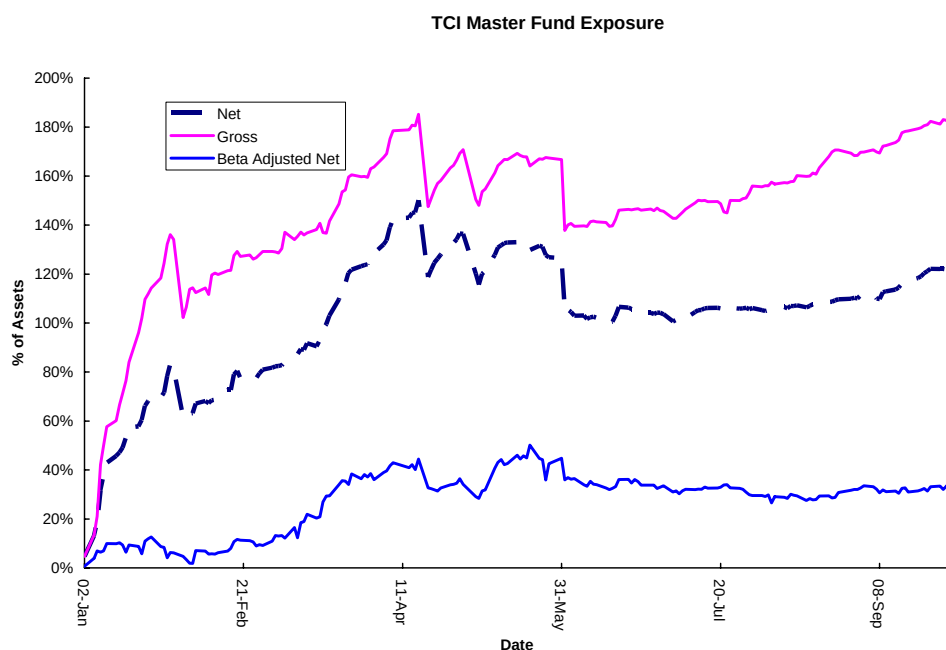
Total gains in the period amounted to €81m and, as one would expect in a concentrated portfolio, these gains clustered around the largest positions. Autostrade accounted for 18% of the gains (excluding FX p&l), Altadis 15%, ASF 14% and KT&G 10%. The net gain of the combined GS Holding and LG Corp positions represented 6% of total gains. We incurred our largest material loss in a share class arbitrage in Infosys (loss of 4% of total gains). Outright longs were 97% of gains and pair trades a net 1% and outright shorts 2%. 67% of gains were made in European names and 25% in Asian names. A breakdown of trading gains is shown in Appendix 1.

Exposures

Our gross and net exposures have risen during the quarter due to additions to existing positions and some new positions.

Period	Outright Longs	Outright Shorts	Long side of Share Class Arbitrage	Short side of Share Class Arbitrage	Gross	Net
End January	90.0%	-7.0%	19.8%	-19.7%	136.5%	83.1%
End February	87.1%	-4.2%	21.0%	-20.7%	133.0%	83.2%
End March	122.2%	-0.2%	18.4%	-17.4%	158.2%	123.0%
End April	115.0%	-0.6%	13.0%	-13.1%	141.7%	114.3%
End May	127.0%	-3.3%	15.2%	-15.4%	160.9%	123.5%
End June	100.7%	-7.7%	20.7%	-13.6%	142.7%	100.1%
End July	107.3%	-7.3%	23.7%	-17.6%	155.9%	106.1%
End August	107.9%	-6.5%	31.2%	-22.5%	168.1%	110.1%
End September	118.1%	-6.2%	34.6%	-24.4%	184.1%	122.1%

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The portfolio has remained quite stable in overall industry and geographic exposures since the end of the last quarter. Exposures continue to be dominated by toll roads (nearly 40% of NAV, in Italy and France), tobacco (27% of NAV, in Europe and Korea), stock and derivative exchanges (12% of NAV) and banks (net 16% of NAV, all in Italy). Our geographic exposures have remained stable with Europe (including Russia) at 100% of NAV and Korea 20% of NAV. A breakdown of top positions is shown in Appendix 1.

Portfolio Update

In general, the first half reporting season has shown that our portfolio companies have been trading (operationally) in line with our expectations. We have been in dialogue, wherever possible, with management teams of our companies to check their outlook for their businesses and strategic direction.

Gazprom

On August 18 Gazprom local shares declined 13% to 53 rubles due to a request from a Duma member for an investigation into Gazprom structures facilitating foreign investment in local shares. Our assessment is that this Duma member is politically unimportant and, according to market sources, had other motives. We believe that nothing significant will result from the comments. This was confirmed in a dinner which I attended on September 8th with Oleg Vyugin, the Head of the Federal Service for Financial Markets, the key market regulator, who confirmed that there was no investigation at any level of Government into Gazprom share ownership by foreigners and none was planned. He recently publicly reaffirmed his position that these structures are legal.

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On September 14th President Putin and Prime Minister Fradkov announced publicly that the Russian government would increase its ownership of Gazprom from 38% to 50% + 1 share through an exchange of Gazprom treasury stock for the state owned oil company, Rosneft, to be followed by the removal of all foreign ownership restrictions on Gazprom. The timetable given for the Rosneft acquisition is completion by year end 2004. These statements resulted in the local shares rallying to 73 rubles.

During September we met in London with the Gazprom CFO. At the meeting he stated that the management fully supported the elimination of the ring fence and the ending of all restrictions on foreign ownership so that there would be 'one price for all Gazprom shares'. One important argument for the ring fence removal for the management was a desire to improve their market capitalization and hence their credit rating in order to reduce their cost of funding and increase debt capacity. The lifting of the ring fence will also result in the domestic stock entering into long only benchmarks such as MSCI EMF, creating a new cohort of buyers. The meeting highlighted the many shortfalls of the company (relative to western standards) on the issues of capital budgeting, cost discipline, financial targets, and shareholder rather than social purpose focus. The company reported Q1 figures during September which were positive in that the company generated over \$1.3bn of free cash flow.

Our position is currently long 10% of NAV and net long 5% (net of our GDR short). We would expect the current 40-50% premium of the Gazprom GDR to close to near parity if the ring fence is genuinely removed and both shares are made fungible. We view the position as an event driven arbitrage rather than a fundamental investment. We currently hold material excess borrow in the GDR to increase our hedge ratio over time.

LG Corp

During the quarter LG Corp completed its demerger into GS Holdings and new LG Corp. This combined value of the two stocks is double where we first invested in the company. We have sold our GS Holdings position due to inadequate mispricing on a mid cycle valuation although earnings momentum is very good for the company. We increased our holding in the new LG Corp due to the compelling valuation of a 55% discount to our NAV estimate and PE of 3X our 2005 earnings estimate. The main risk continues to be the negative impact on LG Electronics' earnings if the Korean Won strengthens. This is currently a 6% gross long and 4% net long position (net of our 2% hedge of their proportionate ownership of the newly listed LG Phillips).

ASF

During their recent roadshow, Vinci, which currently owns 24% of ASF's shares, reiterated its desire to take control of the company from the French Government (51% owner of ASF). We believe that Vinci has been increasing its stake in the market which has contributed to the increase in the share price during the quarter. H1 trading was in line with our and market expectations. Despite the strong performance of the shares we continue to view the stock as undervalued with increasing dividend yields as the catalyst to continuing performance. In our recent meeting with ASF management they reiterated

their view that the ownership situation remained “deep frozen” with the French Government unwilling for now to consider Vinci’s approaches.

Italian Banks

We currently hold long positions in three Italian banks – Unicredito, Banca Intesa (non-voting shares), and Banco Popolare di Verona. All have now reported H1 in line with our expectations. On average we think their average P/E of approximately 9X our 2005 earnings estimates, expected 2005 dividend yields of 5%+, and optionality on short term rate rises make these attractive investments given their potential for double digit earnings growth. We have recently met with the top management of all three banks during the quarter and heard a consistent message of growth in spite of a flat economy.

Autostrade

During the quarter the company’s controlling shareholder sold down its shareholding from 63% to 51% through the sale of nearly \$1bn of stock at 16 euros. We participated in the placing. H1 trading was in line with our expectations and we have increased our comfort level on long term regulatory risks through more detailed analysis with the company and external legal advisors on the contractual terms of their investment plan. Over the long term the company is in a unique position to continue investing at attractive rates of return with low risk in de-bottlenecking projects, in effect acting as a banker to the Italian government for infrastructure investments. The value created by the releveraging of the company is still not reflected in the stock price despite the strong increase in valuation, partly because most long only funds sold all their shares during the tender offer in 2003 at 10 euros and have been reluctant to look again at the company.

KT&G

We increased our position during the quarter through a placing of shares by a large domestic shareholder. We see the company as highly undervalued at approximately 4x our estimated EV/ operating profit. Over the medium term we see tax rises being absorbed by the company’s pricing power. The company is currently engaged in a buyback program to repurchase 24% of its shares by 2007. The one negative that we see is that up to 10% of these shares are not slated for cancellation but partly for management and employee remuneration. We see this as very excessive and are considering taking an activist approach to persuade the board to cancel more of the repurchased shares.

TUI

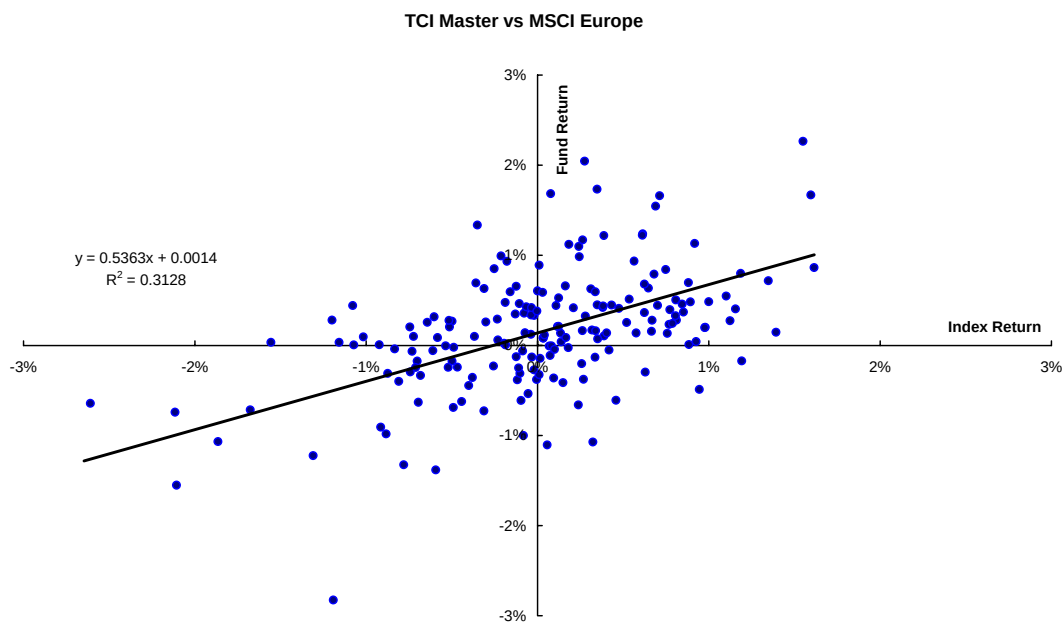
Our short position on TUI illustrates the problems which the proliferation of hedge funds have caused in short positions in anything but the large cap index names. When we first executed our short position on the stock borrow was freely available and the cost 65bp. Our prime broker was lending to us primarily exclusive stock (ie. stock in which they had agreed a fixed fee and certainty of supply for a fixed period of a year) as opposed to spot market borrow where no such restrictions apply. In subsequent months this short position has become popular amongst hedge funds and the prime brokers have shown no restraint in offering every last available share out until significant recalls and repricings (the spot

price for new borrowing is now 12%) have started to reduce the short interest again. The situation has been exacerbated by one prime broker filing in the name with 10% of the company shorted. We understand that this encouraged the company to tell its large shareholders to recall the stock and cause a short squeeze which facilitated the company remaining in the DAX index (a strategy which succeeded with the help of persistent takeover speculation).

Part of the lesson learned here is that exclusive or term borrow, if available, may make the difference between winning and losing when shorting a mid-cap name. In addition, the opportunities for sizeable wins in short positions have become more limited by the crowded nature of the space. We will continue to hold the short position in TUI, since we think the stock has 50% to 100% downside, whilst hoping that over the next few months the price of borrow will force out some of the shorts or encourage more shareholders to lend their stock.

Market Correlation

The Master Fund has continued to exhibit some sensitivity to markets (here shown vs MSCI Europe, although the Fund's significant non-European exposures should be noted). The slope of the line illustrates the continued low Beta of the Fund (0.53) and the intercept its Alpha (14bp daily). The Fund's daily returns have shown a correlation of 0.56 to MSCI Europe so far this year. As we have repeatedly made clear, eliminating market correlation is not a goal of the fund.



Foreign Currency Exposure

The Master fund has Euros as its base currency and we continue to fully hedge euro exposure for dollar feeder fund investors as will always be our policy. We review the hedge every day and re hedge when the mismatch is judged material. This hedging has

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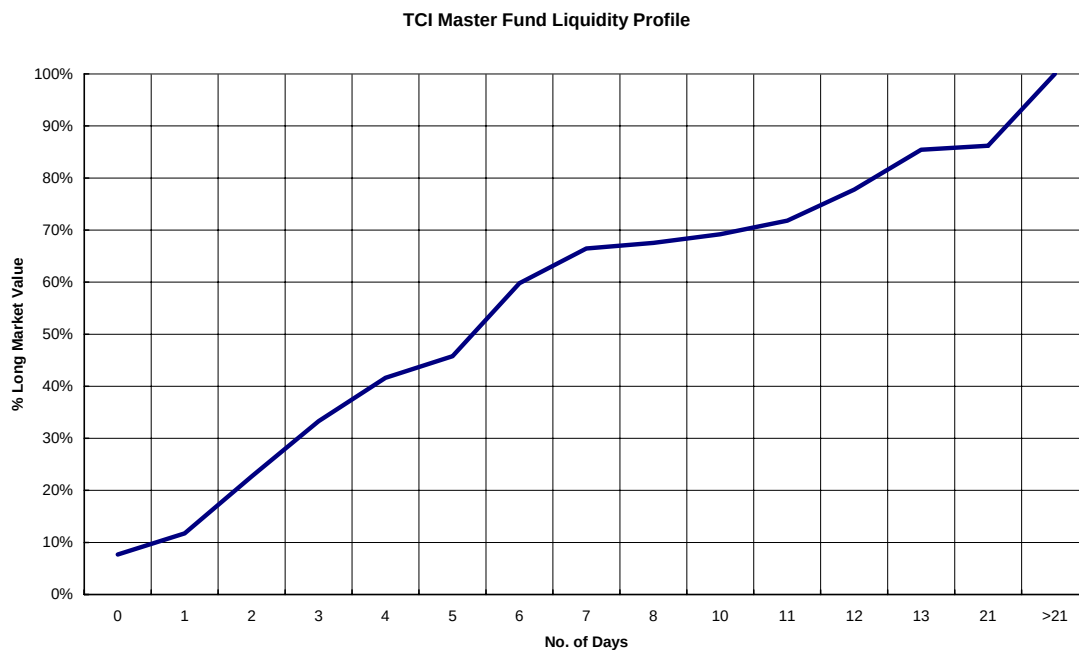
been accurate and five year dollar class YTD returns are within 13bp of the return one would have expected had such hedging been frictionless and continuous.

Within the Master Fund we generally hedge non euro exposures, again, reviewing daily and rebalancing material deviations. Our partly unhedged position on the Korean Won was hedged up during the quarter due to a view that the benefits of hedging (protection against macroeconomic and political factors) matched the cost (no self hedging protection against a strengthening of the currency hurting the earnings of LG Corp). Unhedged exposures within the Master Fund at quarter end are:

Russia	6.6% net long
India	1.0% net long
Taiwan	0.2% net long
Thailand	1.3% net long

The Gazprom position makes up the bulk of the Ruble exposure. The Ruble weakened by half a percent in the quarter and so we estimate that the impact on the portfolio of being unhedged in these currencies in the quarter was negligible.

Liquidity Analysis



Longs Only			
Liquidity Band (Days)	NAV	Cumulative % NAV	Cumulative % Longs
0	11.7%	12%	8%
1	6.2%	18%	12%
2	16.6%	35%	23%
3	16.1%	51%	33%
4	12.7%	63%	42%
5	6.3%	70%	46%
6	21.3%	91%	60%
7	10.2%	101%	66%
8	1.6%	103%	68%
10	2.5%	105%	69%
11	4.0%	109%	72%
12	9.1%	118%	78%
13	11.7%	130%	85%
21	1.2%	131%	86%
>21	21.0%	152%	100%

The fund does not have high liquidity due to the deliberate policy of (a) concentrated positions and (b) focus on mid cap stocks. At quarter end 46% of the longs represent five day's volume or less and 23% of the longs represent between 5 and 10 days volume. 14% of the longs represent between ten and twenty one days volume and 14% of the longs are more than twenty one days volume. If one excludes the long side of the Intesa spread (12% NAV, 26 days volume), only 7% of the remaining longs are more than twenty one days volume. The fund's lock up allows us to be comfortable with the portfolio's current liquidity.

We calculated these numbers taking the fund's holdings and compared them to last three months volume (source: Bloomberg, LP). For example, an 80 share position in a stock which is seen to have average volume of 16 shares daily over the past 3 months is shown as being 5 days volume. When we last prepared this data, we used the last ten trading days as the denominator. We made this change in order to have a more stable measure over time.

As before, there is no private equity in the portfolio but we have taken a 0.55% position in a sterling denominated loan in United Biscuits Limited.

We have during the quarter been exploring with our LP Committee the idea of holding less liquid positions at the lower of cost or market or with liquidity discounts in order to ensure that incentive fees are taken on a conservative basis of valuation. However, at this point in time we have not concluded that it would be practical to implement this.

We continue to explore the opportunity, but each potential avenue raises issues of consistency with US GAAP, operational complexity and fiscal uncertainty. AICPA guidance for interpreting US GAAP states that where a quoted price is available in an active market, then blockage factors (ie liquidity discounts) should not be used. However, if one owns a large percentage (not specifically defined) of a particular company's total shares in issue, the argument is that this is not really an active market and therefore fair valuation procedures and hence liquidity discounts might be appropriate. In some names, we do own many days volume of stocks which trade frequently albeit in relatively small

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amounts, but it is only one instance (a 135bp position) that the Fund owns more than 10% of a company's equity.

LP Committee

Since the end of the last quarter Rob Wallace of Yale University's Investment Office has joined the LP Committee.

Staffing

In the last letter we noted that Stuart Powers (Analyst) and Joe Cusworth (Operations Officer) were soon to join. They are both settling in well. As we have grown the operational tasks have increased and to better manage these we have decided to split the COO and CFO role. Doug Shaw will continue as COO, including investor relations, and Tej Gujadhur will be joining as CFO from the hedge fund group of Ernst and Young, New York.

TCI Focus Fund

We alerted you to the launch of the TCI Focus Fund in our previous letter. This product launched on the first of September with seven investors committing capital of \$145m. Half of this was drawn straight away and used in three liquid long positions in which the Master Fund already had a full position. A fourth was recently added and a further \$29m of capital drawn on first of October. The fund is currently 85% invested on commitments.

Assets Under Management

During the quarter the Master Fund remained closed to new investors. However, we have continued to find some attractive investment opportunities in several areas which we believe will comfortably exceed the Fund's target rates of return. As a result we have now taken the Fund's leverage to the upper end of what we feel comfortable with. At this point in time we would like to deleverage the Fund by raising approximately \$100-200m of capital.

We clearly understand that many investors want us to manage as little capital as possible so as to increase the return that they make on their capital. I too, as a significant shareholder in the Fund, do not want our returns diluted. Moreover, we understand that ultimately we will be fired by our investors if we take more capital than we can profitably invest at (a) the target returns which the fund set out at the beginning (10% pa with drawdown targets of less than 10% of capital) and (b) the target returns of our investors (stated to be, in general, similar to our own). The proof of this pudding will, as always, be in the eating. Moreover, if and when we find the attractive opportunity set to be materially less than our capital, base we intend to return capital to our investors.

Parvus

As we mentioned last month, the management company of the Fund has taken a 20% equity investment in a European small cap manager called Parvus. Parvus commenced

operations on October 1 and has been well received by investors with over \$300 mm of capital commitments for its long only and long-short products. Over time we see this as a value added relationship for the Master Fund.

The Children's Investment Fund Foundation

The Foundation continues to be active and has hired its first field officer who is based in Nairobi, Kenya. Year to date, it has received donations from the Fund of circa \$4m. The bulk of its excess assets are held in management shares of the Fund. You can follow the activities of the Foundation through its website www.ciff.org. This website should not be construed as an advertisement for the Fund.

Summary

Our investment process remains on track and our team is working hard to deliver results for you. As always, please feel free to pass comments or suggestions to us, or to the LP Committee if you would prefer.

Christopher Hohn
Managing Partner
The Children's Investment Fund Management (UK) LLP
October 5th 2004

Appendices

Appendix 1

Top Positions at Quarter End and Trading Gains Breakdown

Stock	% Master Fund Assets	Country	Market Cap \$M	% of Q3 Trading Gains	Trading Gains as % of End NAV
Autostrade	19.7%	Italy	12,216	18%	1.2%
Altadis	14.9%	Spain	10,087	15%	1.0%
Banca Intesa Risp	12.3%	Italy	25,290	-4%	-0.3%
Banca Intesa Ordinary	-6.3%	Italy	25,284	6%	0.4%
Euronext	11.7%	France	3,413	0%	0%
Gazprom	9.6%	Russia	61,027	17%	1.2%
Gazprom ADR	-5.3%	Russia	87,592	-12%	-0.8%
Auto Routes du Sud de la France	9.0%	France	10,607	14%	1.0%
KT&G	8.4%	Korea	4,741	10%	0.7%
Snam Rete Gas	6.8%	Italy	9,255	5%	0.3%
LG Corp/GS Holdings combined	*6.3%	Korea	2,334	6%	0.4%
Unicredito	5.1%	Italy	32,187	-1%	-0.1%
Total	92.2%		Total	74%	5.0%

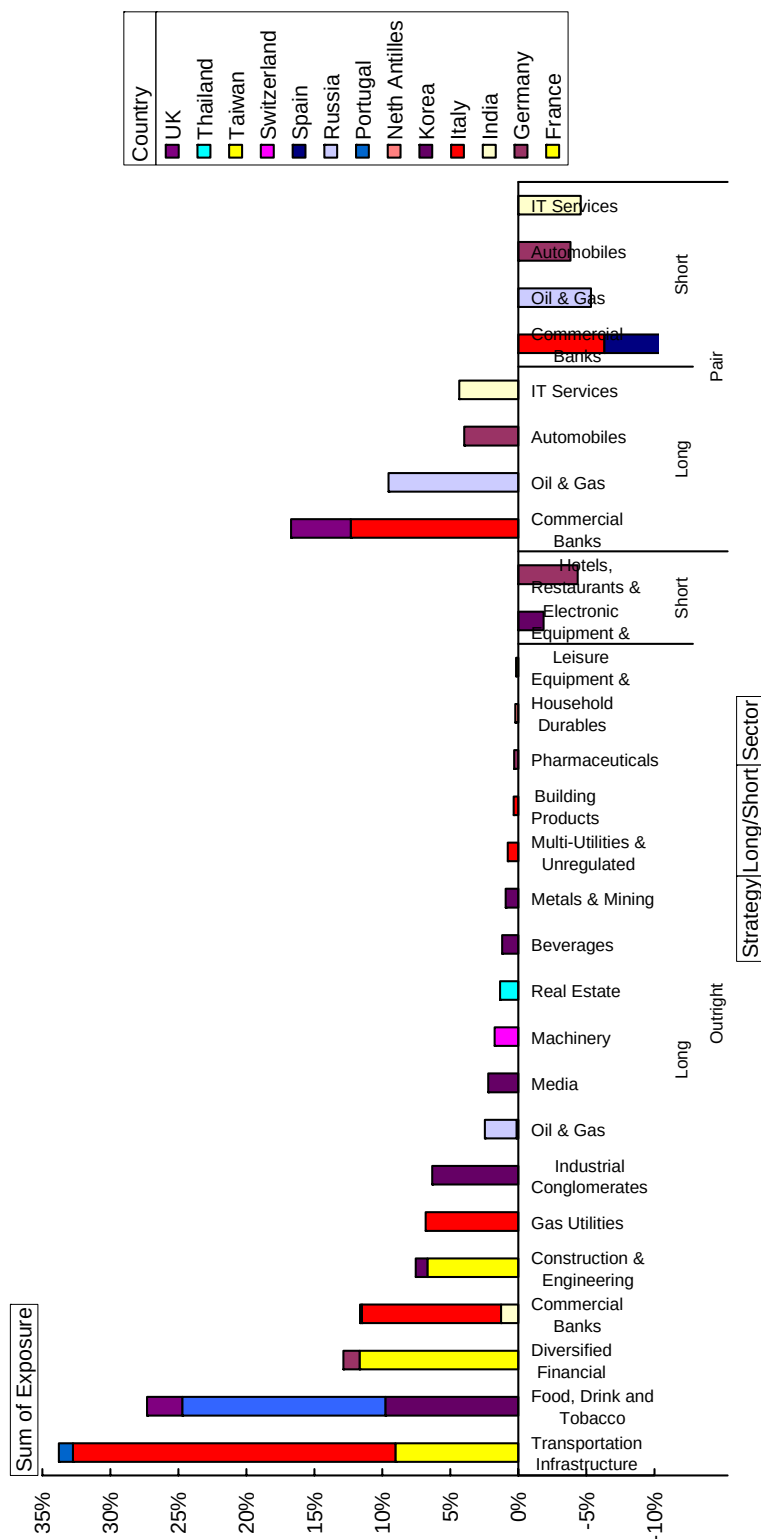
* LG Corp position at quarter end

Appendix 2 – Sector and Country Exposure

Sum of Exposure		Country ▾														
Strategy	Long/Short	Sector	France	Germany	India	Italy	Korea	Neth Antilles	Portugal	Russia	Spain	Switzerland	Taiwan	Thailand	UK	Grand Total
Outright	Long	Transportation Infrastructure	9.1%			23.7%				1.0%					2.6%	33.8%
		Food, Drink and Tobacco					9.8%				14.9%					27.3%
		Diversified Financial Services	11.7%	1.2%												12.9%
		Commercial Banks			1.3%	10.2%	0.1%									11.6%
		Construction & Engineering	6.7%				0.9%									7.5%
		Gas Utilities			6.8%											6.8%
		Industrial Conglomerates					6.3%									6.3%
		Oil & Gas					0.1%			2.3%						2.5%
		Media					2.2%									2.2%
		Machinery										1.8%				1.8%
Real Estate						1.2%							1.4%	1.4%		
Outright Total	Long	Beverages					0.9%									0.9%
		Metals & Mining														0.8%
		Multi-Utilities & Unregulated Power				0.8%										0.8%
		Building Products				0.4%										0.4%
		Pharmaceuticals		0.3%												0.3%
		Household Durables						0.2%								0.2%
		Leisure Equipment & Products											0.2%			0.2%
		Long Total	27.4%	1.5%	1.3%	41.9%	21.6%	0.2%	1.0%	2.3%	14.9%	1.8%	0.2%	1.4%	2.6%	118.1%
		Short		-4.4%			-1.9%									-1.9%
		Short Total	27.4%	-2.8%	1.3%	41.9%	19.7%	0.2%	1.0%	2.3%	14.9%	1.8%	0.2%	1.4%	2.6%	111.9%
Pair	Long	Commercial Banks					12.3%								4.4%	16.7%
		Oil & Gas														9.6%
		Automobiles		4.0%							9.6%					4.0%
		IT Services			4.3%											4.3%
		Long Total		4.0%	4.3%	12.3%				9.6%				4.4%		34.6%
		Short				-6.3%				-4.2%						-10.6%
		Commercial Banks														-5.3%
		Oil & Gas								-5.3%						-3.8%
		Automobiles		-3.8%												-4.6%
		IT Services			-4.6%											-24.3%
Pair Total	Long	Long Total		4.0%	4.3%	12.3%				9.6%				4.4%		34.6%
		Short				-6.3%				-4.2%						-10.6%
		Commercial Banks														-5.3%
		Oil & Gas								-5.3%						-3.8%
		Automobiles		-3.8%												-4.6%
		IT Services			-4.6%											-24.3%
		Long Total	27.4%	-2.7%	1.0%	47.9%	19.7%	0.2%	1.0%	6.6%	10.7%	1.8%	0.2%	1.4%	7.0%	122.2%
		Short														
		Long Total														
		Short														

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TCI Master Fund Q3 2004 Sector and Country Exposures



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